



You should also create a charter (see pp.28–29) to establish team members' roles and responsibilities. It is important to draw up a legal agreement that sets down any investments in the company that individual members have made and establishes how assets and investments would be divided if the business does not work out.

While the bonds of friendship and family can create a supportive workplace environment, there must be boundaries in place that prevent special treatment. If a friend or family member does something

wrong or illegal that could damage the enterprise, you need to respond as if they were any other employee in the company. Failing to act could set a terrible example to other members of the team.

Working with friends and family can be fun, but the team must operate professionally. Good communication is key to settling disputes and misunderstandings and dealing with the changes that every business experiences as it grows. Your strength is the stake you all have in the business and the shared goal of making it a success.



NEED TO KNOW

- › **Buy-sell agreement** sets out how shareholders can sell stock, who can buy it, and under what circumstances it can be sold.
- › **Owners' council** is when the business owners gather to discuss their goals and direction and relay their thoughts to its board.
- › **Succession planning** involves deciding who will lead your new business if you are unable to work for any reason. Without such a plan, the business could fail.

“If you want to walk fast, walk alone. But if you want to walk far, walk together.”

Ratan Tata, former chairman of Tata group



Create shared goals

Discuss the goals of the business and the strategy and tactics you believe will achieve them. Make sure everyone has a chance to contribute their ideas and that all team members understand what needs to be done. When working with friends and family, it is easy to assume that they are thinking the same thing as you, but it could be the case that each person has a slightly different picture in their head.



Avoid and resolve conflict

Good communication is essential to avoid conflict. If a problem arises, try to talk it through. Do not rush to judgment, but listen to your friend or family member. Create a process, if possible, for resolving serious disputes. Overwork can make people impatient and irritable; remember that it is just as important for those involved in family businesses as it is for others to have time for leisure and relaxation.